

Walt Disney

NYSE : DIS · \$170.9B mkt cap · 1.79B sh · \$5.7B cash, \$42B net debt · \$5.7B cash against ~\$42B total debt (~\$36B net debt); ~1,785M shares; dividend Mature- raised +50%, buyback >=\$8B in FY26; Revenue \$94.4B FY25 (+3%); GAAP op margin 18.6% (rising); FCF ~\$10.1B; streaming (DTC) OI just Company crossed 10%; ~\$100, down ~9% YTD (52-wk ~\$92-125), popped ~7-8% on the May print; the cheap turnaround alongside META DCF

\$95.71

THE CENTRAL QUESTION

Does streaming operating margin scale from ~10% toward mid-teens fast enough to outrun the secular decline of linear TV and cable-affiliate revenue?

Disney trades at ~\$178.6B equity (~\$100, down ~9% YTD) — ~22x EV/FCF on \$94.4B revenue, an 18.6% and rising operating margin, ~\$10.1B FCF against ~\$36B net debt. Streaming (DTC) operating income just crossed 10% (+88% YoY, guided to keep scaling), Experiences is a record cash engine (~\$2.6B quarterly OI) with a \$60B capex runway, and the CEO succession overhang is resolved. The DCF asks whether DTC margin scales toward mid-teens before linear TV erodes the base. The modal case lands +14% — the cheap-turnaround read, with the secular cable decline as the live drag.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$110.38
expected fair value today
+15.3% vs spot \$95.71

FORWARD COMPOUNDED VALUE

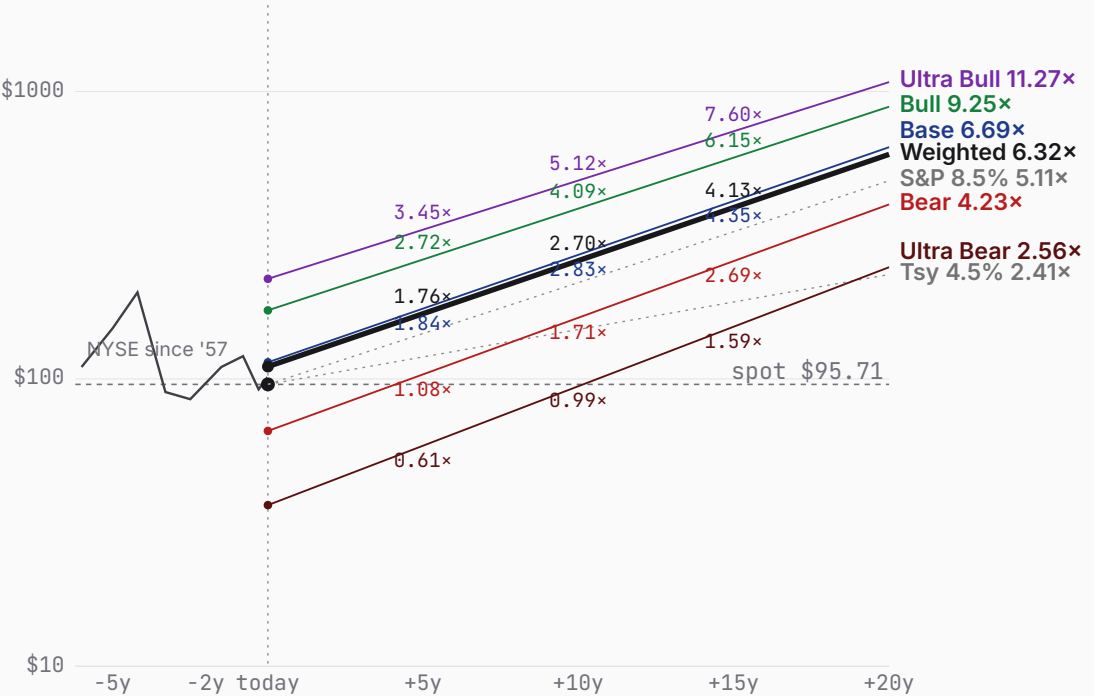
+5y	+10y	+15y	+20y
\$168.72	\$258.03	\$394.82	\$604.42
1.76x spot	2.70x spot	4.13x spot	6.32x spot

WEIGHTING RATIONALE

- Ultra Bear 13% Cable erodes faster than DTC scales; ~\$36 (-64%).
- Bear 27% DTC profits but linear decline offsets it; ~\$66 (-34%).
- Base 34% DTC scales toward mid-teens; FCF compounds; ~\$114 (+14%).
- Bull 18% Streaming hits mid-teens; parks reaccelerate; ~\$173 (+73%).
- Ultra Bull 8% Full re-rate; streaming a profit machine; ~\$223 (+123%).

Bull (18%) + Ultra Bull (8%) together contribute \$49.01 — 44% of the \$110.38 expected value despite 26% combined probability. Today's spot (\$95.71) sits 13% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$36.38	BEAR	\$65.91	BASE	\$114.23	BULL	\$173.20	ULTRA BULL	\$222.97
	-62.0% vs spot		-31.1% vs spot		+19.4% vs spot		+81.0% vs spot		+133.0% vs spot
CAGR +1.0% WACC 10.0% CAGR +1.0% Prob 13%		CAGR +3.0% WACC 9.5% CAGR +3.0% Prob 27%		CAGR +4.6% WACC 9.0% CAGR +4.6% Prob 34%		CAGR +5.6% WACC 8.5% CAGR +5.6% Prob 18%		CAGR +6.6% WACC 8.2% CAGR +6.6% Prob 8%	
Cable erodes faster than DTC scales.		DTC profits, but cable offsets it.		DTC scales toward mid-teens; FCF compounds.		Streaming hits mid-teens; parks reaccelerate.		Full re-rate; streaming a profit machine.	

AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Walt Disney scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 27% Base 34% Bull 18% Ultra Bull 8% · Weighted expected \$110.38 (+15.3% vs spot)

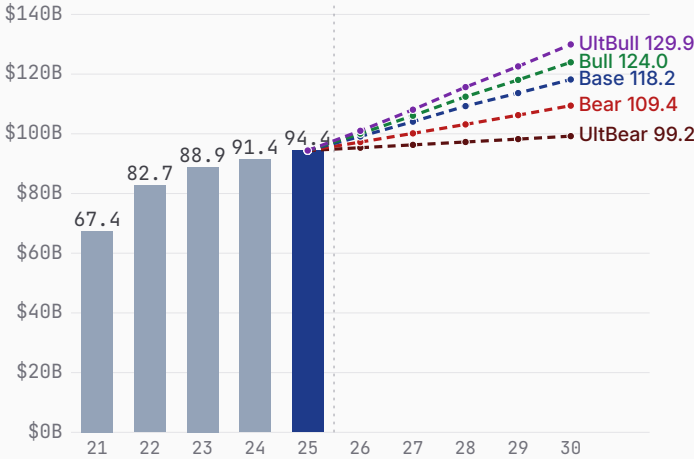
ULTRA BEAR	\$36.38	BEAR	\$65.91	BASE	\$114.23	BULL	\$173.20	ULTRA BULL	\$222.97
	-62.0% vs spot		-31.1% vs spot		+19.4% vs spot		+81.0% vs spot		+133.0% vs spot
Probability 13%		Probability 27%		Probability 34%		Probability 18%		Probability 8%	
Cable erodes faster than DTC scales.		DTC profits, but cable offsets it.		DTC scales toward mid-teens; FCF compounds.		Streaming hits mid-teens; parks reaccelerate.		Full re-rate; streaming a profit machine.	
WHY 13%		WHY 27%		WHY 34%		WHY 18%		WHY 8%	
The genuine bear: cord-cutting is structural, domestic park visitation already printed -1%, and content is hit-driven. 13% weight on the legacy decline outrunning the DTC turnaround.		The DTC turnaround is real but the linear drag and capex timing cap it; parks growth is price-led until 2027-2029. 27% as the plausible 'profits but doesn't compound' path.		Requires DTC margin to keep scaling (guided >=10% FY26, +88% YoY OI) and Experiences to hold its record cash flow as capex pays off. 34% as the central, modestly-positive outcome.		DTC scaling plus a \$60B-funded Experiences reacceleration and a smooth CEO handoff make a real compounding case credible. ~18% weight on the turnaround landing.		Everything works - DTC margins AND Experiences reacceleration AND franchise monetization AND a multiple re-rate, the long-duration tail. ~8%.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The secular decline wins: linear TV and cable-affiliate revenue erode faster than streaming margin builds, sports rights costs outrun ESPN DTC ramp, and parks demand softens as domestic attendance keeps slipping. Revenue barely grows (~1%) and the operating margin stalls near 16-17% as the mix shift turns into a mix drag.		Streaming holds its ~10% margin and grows, but the affiliate/ad decline at the linear networks offsets most of the gain; parks lean on price (attendance flat) and the \$60B capex weighs on near-term free cash flow until the new capacity opens. Revenue compounds ~3% at a low-double-digit FCF margin.		The modal path: streaming operating margin grinds from ~10% toward mid-teens on operating leverage (ESPN DTC, bundling, Hulu fully owned), Experiences compounds mid-single-digit as the \$60B runway adds supply-constrained capacity, and the combined engine outgrows the shrinking linear base. Revenue compounds ~5% and the operating margin climbs past 20%; FCF margin grinds toward 14%.		The turnaround compounds: streaming margin reaches mid-teens and keeps climbing as the bundle (Disney+/Hulu/ESPN DTC) gains pricing and scale, the new park capacity opens into resilient demand and reaccelerates Experiences past price-led growth, and FCF margin lifts toward 16%. Revenue compounds ~6% at a margin recovering toward the historical peak.		The full second act: streaming becomes a high-teens-margin profit machine, the IP library and franchises monetize across DTC, parks and consumer products, the new \$60B of capacity compounds Experiences for a decade, and Disney re-rates to a growth-media multiple as the linear drag fades into irrelevance. Revenue compounds ~7% at peak margins.	
A media-and-parks conglomerate whose growth core never outpaces its declining legacy earns a low terminal multiple → DCF ~\$36 (-64%). The ~\$36B net debt amplifies the equity hit when EBITDA disappoints.		DCF ~\$66 (-34%) — a stabilizing but not-yet-reaccelerating Disney at ~15x FCF is worth less than today's price; the market's discount holds if DTC scaling only treads water against the cable runoff.		DCF ~\$114 (+14%) — the cheap-turnaround read. A franchise with a scaling DTC margin and a record cash engine in Experiences, at ~17x FCF, re-rates modestly above today's price once the growth core clears the legacy drag.		DCF ~\$173 (+73%) - if the DTC engine becomes the durable growth core and Experiences reaccelerates, the de-rated entry re-rates with the fundamentals; this is the core of the bull.		DCF ~\$223 (+123%) - the franchise reclaims a premium compounder valuation; ~8% probability, the asymmetric upside the depressed entry is buying.	

Walt Disney business snapshot

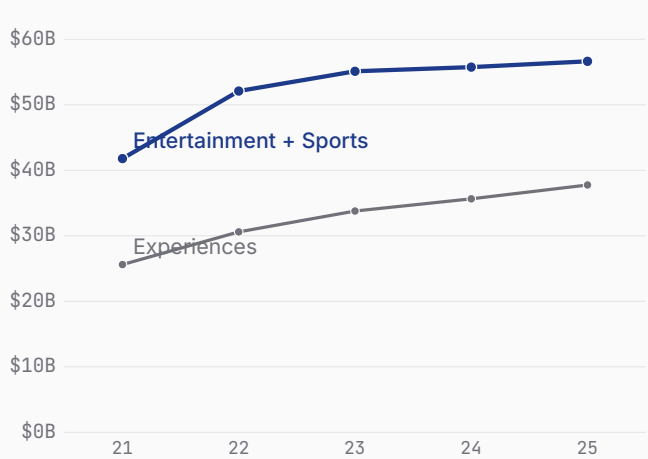
Bear \$65.91 Base \$114.23 Bull \$173.20

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Sept · FQ2 2026 (May'26) results

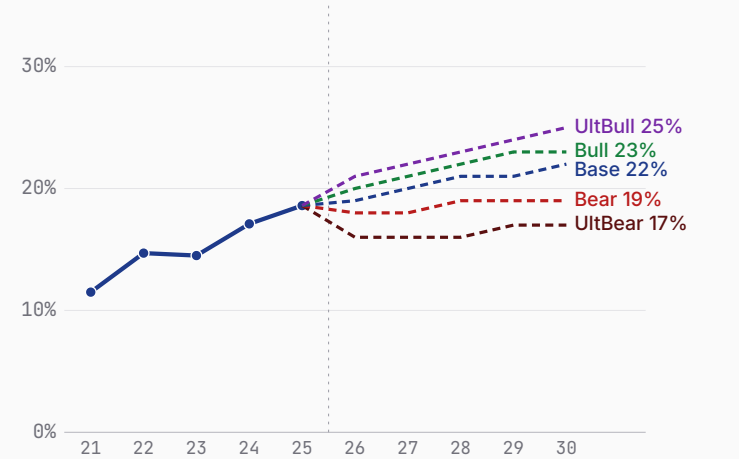
Revenue (\$B) — history + scenarios to FY30



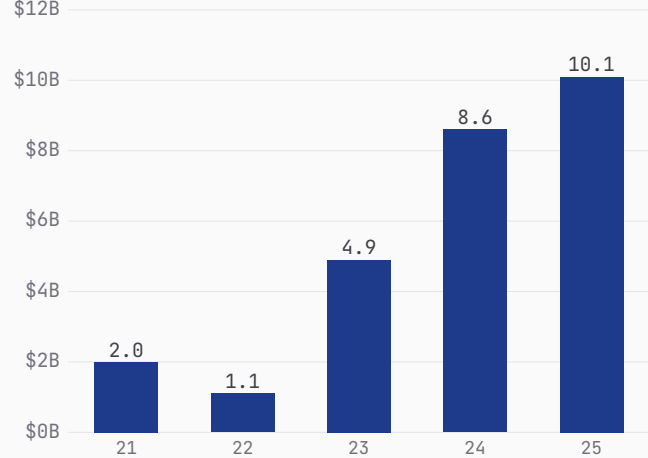
Revenue by segment (\$B)



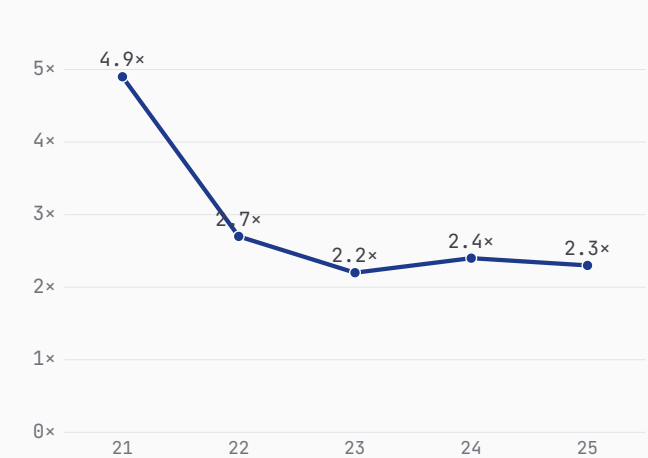
Op margin — history + scenarios



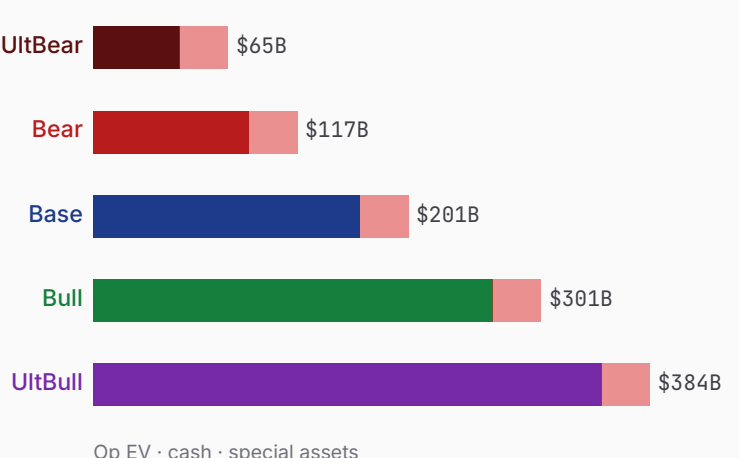
Free cash flow (\$B) — history



EV / Revenue — historical



Equity build (Op EV - net debt)



Sources: SEC XBRL company facts (CIK 1744489; revenue, GAAP operating income/margin, cash flow, debt), Disney FQ2 2026 release (DTC revenue \$5.49B +13% / operating income \$582M +88% / 10.6% margin; Experiences revenue \$9.5B +7% / OI \$2.6B records; domestic park visitation -1%; dividend +50%, buyback >=\$8B; \$60B/10-yr Experiences capex). Revenue modeled as a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs NFLX/CMCSA.

Walt Disney 7 Powers · the moat, scored

Bear \$65.91 Base \$114.23 Bull \$173.20

Arena. Media + theme parks – Disney (IP library/franchises, parks, the Disney+/Hulu/ESPN DTC bundle) vs Netflix in streaming, Comcast/Universal in parks, Warner Bros. Discovery and Paramount in legacy media; auditing a cornered-resource/brand Power against the secular decline of linear TV.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies 	Massive content and capex scale – Disney spreads franchise production, a global parks footprint and DTC tech across the industry's largest revenue base; a genuine cost advantage.
Network Economies 	The Disney+/Hulu/ESPN bundle plus loyalty/MagicBand data create modest cross-sell pull, but streaming is not a hard network – subscribers churn freely.
Counter-Positioning 	None – Disney is the incumbent being disrupted by streaming and cord-cutting, not the disruptor; it had to cannibalize its own cable economics to build DTC.
Switching Costs 	Weak – streaming is month-to-month and promiscuous; parks/cruise loyalty is real but a small share of revenue.
Branding 	A top global consumer brand – Disney/Pixar/Marvel/Star Wars command pricing power in parks and a trust premium with families; durable but not converting fast while linear declines.
Cornered Resource · thesis leans here 	The dominant Power: an irreplaceable IP/franchise library (a century of characters + ESPN sports rights) that monetizes across DTC, parks and products – the hardest asset in media to replicate.
Process Power 	Decades of theme-park operating and franchise-development know-how; real but not a primary moat versus the IP itself.

COMPETITIVE READ

Disney's cornered-resource Power is genuine and durable (high) – a century-deep IP/franchise library plus ESPN sports rights that monetize across streaming, parks and consumer products, the hardest asset in media to replicate, backed by a top brand and the industry's largest scale. The Audit: the live threat is the secular decline of linear TV/cable affiliate revenue, and the question is whether the scaling DTC margin (just crossed 10%, +88% YoY) and the record Experiences engine (\$2.6B quarterly OI, \$60B runway) outgrow that runoff before it erodes the base. The DCF tests the pace; the modal case lands +14% – the cheap-turnaround read, with ~\$36B net debt amplifying both tails.

PEER SET

Netflix (NFLX) The streaming scale leader and DTC-margin benchmark Disney's turnaround is measured against; far higher streaming margin.	14% gr · 27% mgn · ~12x EV/sales
Comcast / Universal (CMCSA) The parks rival (Epic Universe) and a cable peer; the closest media-plus-parks comp, cheaper multiple.	2% gr · 19% mgn · ~7x EV/FCF
Warner Bros. Discovery (WBD) Legacy-media peer mid-restructuring; the cautionary 'cable decline + DTC build + leverage' comparison.	0% gr · 10% mgn · ~6x EV/EBITDA
Paramount (PARA) Sub-scale legacy media + DTC; the 'left behind by streaming economics' comp.	0% gr · 8% mgn · ~7x EV/EBITDA

THREAT VECTORS · FALSIFIERS

Cornered Resource · Cord-cutting / linear decline falsifier: Cable-affiliate and ad revenue erode faster than DTC + Experiences grow, so the franchise library's legacy monetization shrinks faster than the new channels replace it.
Branding · Netflix / streaming competition falsifier: DTC margin stalls near 10% as bundle pricing and ESPN DTC fail to scale against Netflix's lead, and subscriber growth/churn worsens.
Scale Economies · Parks demand softness falsifier: Domestic attendance stays negative and the \$60B capacity opens into a soft consumer, so Experiences growth stays price-led and the cash engine stalls.

Walt Disney show your work

Bear \$65.91 Base \$114.23 Bull \$173.20 · Weighted \$110.38 (+15.3%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$36.38					\$65.91					\$114.23					\$173.20					\$222.97				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+1.0					+3.0					+4.6					+5.6				
Year-5 op margin (%)					17.0					19.0					22.0					23.0				
WACC (%)					10.0					9.5					9.0					8.5				
Terminal growth (%)					2.0					2.5					3.0					3.5				
5y revenue CAGR (%)					+1.0					+3.0					+4.6					+5.6				
Starting revenue (\$B)					94.40					94.40					94.40					94.40				
Scenario probability (%)					13					27					34					18				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	95.34	+16%	+7.63	+6.93	FY26	97.23	+18%	+9.72	+8.88	FY26	99.12	+19%	+10.90	+10.00	FY26	100.06	+20%	+13.01	+11.99	FY26	101.01	+21%	+14.14	+13.07
FY27	96.30	+16%	+7.70	+6.37	FY27	100.15	+18%	+10.02	+8.35	FY27	104.08	+20%	+12.49	+10.51	FY27	106.07	+21%	+14.85	+12.61	FY27	108.08	+22%	+16.21	+13.85
FY28	97.26	+16%	+7.78	+5.85	FY28	103.15	+19%	+11.35	+8.64	FY28	109.28	+21%	+14.21	+10.97	FY28	112.43	+22%	+16.86	+13.20	FY28	115.64	+23%	+18.50	+14.61
FY29	98.23	+17%	+8.84	+6.04	FY29	106.25	+19%	+11.69	+8.13	FY29	113.65	+21%	+14.78	+10.47	FY29	118.05	+23%	+18.89	+13.63	FY29	122.58	+24%	+20.84	+15.20
FY30	99.22	+17%	+8.93	+5.54	FY30	109.44	+19%	+12.04	+7.65	FY30	118.20	+22%	+16.55	+10.76	FY30	123.96	+23%	+19.83	+13.19	FY30	129.94	+25%	+23.39	+15.77
Σ PV explicit FCF					+30.73					+52.71					+64.63					+72.50				
+ PV terminal (g 2.0%)					70.69					184.63					273.03					347.31				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$101.42B					\$237.34B					\$337.66B					\$419.81B				
+ Cash & investments					\$5.70B					\$5.70B					\$5.70B					\$5.70B				
– Net debt					\$42.00B					\$42.00B					\$42.00B					\$42.00B				
= Equity value					\$65.12B					\$201.04B					\$301.36B					\$383.51B				
FY30 shares (M)					1,790					1,760					1,740					1,720				
= Expected per share					\$36.38					\$114.23					\$173.20					\$222.97				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$58.59	\$94.36	\$151.97	\$244.75		\$103.76	\$163.34	\$257.14	\$404.79		\$175.76	\$270.42	\$416.08	\$640.19		\$260.43	\$391.60	\$588.84	\$885.41		\$330.66	\$490.36	\$727.20	\$1,078.43	
0.61×	0.99×	1.59×	2.56×		1.08×	1.71×	2.69×	4.23×		1.84×	2.83×	4.35×	6.69×		2.72×	4.09×	6.15×	9.25×		3.45×	5.12×	7.60×	11.27×	



Walt Disney People · Opportunity · Context · Deal

Bear \$65.91 Base \$114.23 Bull \$173.20

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Josh D'Amaro 0 yrs in seat

0.1% insider ownership
MEDIUM key-person risk

Capital allocation (realized)
Mature capital-return machine. Dividend reinstated in 2023 after the COVID suspension and raised toward ~\$1.00/yr; a \$3B buyback was authorized for FY2024 (the first since 2018). The 21st Century Fox acquisition (~\$71B, 2019) carried a ~\$5B FY2020 goodwill impairment; Disney bought out Comcast to take full ownership of Hulu (closed mid-2025). Total debt deleveraged from ~\$58B (FY2021) to ~\$45B (FY2025), and streaming (DTC) turned profitable at ~+\$1.3B operating income in FY2025 from a ~\$4B loss three years earlier.

Incentive alignment
CEO pay is predominantly equity (Iger FY2025 total ~\$45.8M). Director-and-officer ownership is a fraction of a percent (mega-cap norm), so alignment is via pay design, not a meaningful equity stake. The 2024 say-on-pay vote passed at only ~80% (below the S&P 500 median that year) - a recurring pay-friction point across Iger's tenure.

GOVERNANCE FLAGS

- single class of common stock, one vote per share; no controlling shareholder
- independent Chair (James Gorman, since Jan 2025) is separate from the CEO; board ~90% independent (9 of 10), elected annually (no classified board)
- decisively won the 2024 Nelson Peltz / Triam proxy fight (Peltz lost ~2:1); ValueAct backed the company slate
- repeated CEO-succession failures historically (Chapek named 2020, ousted 2022, Iger recalled) - now resolved via a ~2-year board-led process to insider Josh D'Amaro (CEO since 18 Mar 2026; Iger advises through end-2026)
- capital-allocation negative: the ~\$5B FY2020 goodwill impairment on the 21st Century Fox deal; Disney v. DeSantis litigation settled 2024

PEOPLE READ

Clean single-class one-vote register with an independent Chair (Gorman) split from the CEO, a ~90%-independent annually-elected board, a decisive 2024 activist-fight win, and restored dividend + buyback discipline - all positives. Held to a middling 3 by Disney's documented history of botched CEO successions (now resolved to an as-yet-unproven insider, D'Amaro), thin insider ownership, the Fox goodwill impairment, and ~80% say-on-pay friction.

THE FOUR LEGS

People
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the +10.3% finding) + position sizing.

Walt Disney supporting analysis · disclaimers · glossary

Bear \$65.91 Base \$114.23 Bull \$173.20

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

The streaming turnaround is no longer a maybe.
DTC operating income +88% YoY to a 10.6% margin (first quarter above double digits, guided >=10% FY26) - the central bull thesis is already printing, not projected.
- 2

Experiences is a record cash engine.
~\$2.6B quarterly OI (a record), a \$60B/10-yr capex runway adding supply-constrained capacity - the parks fund the streaming build and anchor the floor.
- 3

Linear TV is the live drag, not a tail risk.
Cable-affiliate and ad revenue are in structural decline; the whole question is whether DTC + Experiences outgrow it, and the bear/base fork turns on that pace.
- 4

The CEO overhang is resolved.
Josh D'Amaro (28-yr veteran who ran Experiences) named CEO, effective at the March annual meeting - the succession question that hung over the stock is settled, though a first-time CEO carries transition risk.
- 5

Net debt ~\$36B is the amplifier.
Unlike the net-cash mega-caps, ~\$36B of net debt levers the equity to EBITDA - the modal case re-rates above spot, but the downside scenarios bite harder.

FALSIFICATION TRIGGERS

Bull validation DTC operating margin scales past low-teens toward mid-teens · ESPN DTC + bundle pricing hold · Experiences reaccelerates beyond price-led growth as new capacity opens · FCF compounds despite the \$60B capex	Bear validation DTC margin stalls near 10% while linear affiliate/ad revenue keeps eroding · domestic park attendance stays negative · content underperforms (hit-driven) · net debt rises on the capex without offsetting EBITDA	Reframe needed if linear TV erodes faster than DTC + Experiences can grow - the growth core never clears the legacy drag - re-rate the terminal toward a declining-media-conglomerate multiple rather than a scaling-streamer one
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

DTC / streaming — Direct-to-consumer (Disney+, Hulu, ESPN DTC) operating income; just crossed a 10% margin (+88% YoY), the turnaround metric.	Linear networks / affiliate — Traditional cable/broadcast (ABC, ESPN cable) and carriage fees - in secular decline as cord-cutting erodes the base.	Experiences — The parks, resorts, cruise and consumer-products segment - a record cash engine (~\$2.6B quarterly OI), \$60B/10-yr capex runway.
Cornered resource (IP) — Helmer Power: the franchise/IP library (Disney, Pixar, Marvel, Star Wars, ESPN) monetized across streaming and parks.	FCF margin — Free cash flow / revenue (~11% FY25, ~\$10.1B); what 18.6% operating margin converts to once the \$60B capex is funded.	